2011 in *nominal* terms. The optimism of 1991–2011 seems like a distant memory.

The Indian state is overwhelmed with the problems that it faces. Day-to-day crisis management tends to dominate, and there is little effort or ability to engage in the long, slow journeys that are required to genuinely solve problems. As the financial economist Harsh Vardhan says, *we work through panic, package and neglect*. The Indian state works poorly, experiences panic when faced with a crisis, comes out with an announcement of a policy package that seeks to address the crisis in a short-term way, and retreats back into neglect. Smooth, capable working on an everyday basis has not come about.

There is a conventional classification scheme, where government failure is decomposed into two parts. First, there is the political economy problem, and governments are hijacked by special interest groups to aim for the wrong objectives. And then, there is the state capacity problem, where government fails to achieve the objective that it seeks to solve. This organizing structure is inaccurate insofar as, in the first stage, it thinks that government is itself pristine, and is only nudged off course by external forces. Instead, we find it useful to analyse policy failure in four ways.

- *Situations where freedom works well:* In most cases, doing nothing is a good answer. There is no market failure, and there is no need for the state to intervene. An example of this is Securities and Exchange Board of India (SEBI) rules that force exchanges to only work in the Indian daytime. There is no market failure when exchanges stay open for business at any time of the day or night, and there is thus no case for SEBI to coerce exchanges on their trading hours.
- *There is a market failure, but the politics goes wrong:* In some situations, market failure is present, but the search for the right state intervention is hijacked by special interest groups, and the very objectives of policy go astray. An example of this is the fertilizer subsidy in Indian agriculture.